

LEXTRACT

CAM Reconciliation Audit Checklist

Verify every charge. Recover what's yours.

Section 1 — Pre-Audit Setup

- ☐ Pull the lease, all amendments, and exhibits before requesting landlord's reconciliation
- ☐ Identify the lease year(s) being audited and confirm the audit rights window (typically 1-3 years)
- ☐ Confirm your pro-rata share in the reconciliation matches the lease's calculation method
- ☐ Request the landlord's full operating expense breakdown by line item for the audit year
- ☐ Document the controllable expense base for cap calculations

Section 2 — Gross-Up Verification

- ☐ Identify any partial-occupancy years where expenses were grossed up
- ☐ Confirm gross-up percentage used (typically to 90% or 95% occupancy)
- ☐ Verify that only controllable expenses were grossed up, not utilities or insurance
- ☐ Cross-reference gross-up calculation against actual occupancy data

Section 3 — Exclusions Audit

- ☐ Compare each line item against the lease's exclusions schedule
- ☐ Common exclusions to check: capital improvements, landlord depreciation, leasing commissions, advertising, financing costs
- ☐ Flag any management fee exceeding the lease's stated cap (typically 3-5% of gross revenues)
- ☐ Identify any single-tenant costs charged to the common area pool

Section 4 — Capital Expenditure Treatment

- ☐ Separate capital from expense line items in the landlord's statement
- ☐ Confirm capital items are amortized (not expensed) over useful life per the lease
- ☐ Verify amortization period aligns with lease requirements
- ☐ Flag any capital items added in the final 3 years of the lease term

Section 5 — Pro-Rata Share Verification

- ☐ Confirm denominator used: total rentable, occupied, or leased area
- ☐ Verify denominator against current rent roll and lease provisions
- ☐ Calculate your pro-rata share independently and compare
- ☐ Flag discrepancies greater than 0.5% as material

Section 6 — Administrative & Management Fees

- ☐ Confirm management fee is applied only to eligible expenses per the lease
- ☐ Check whether management fee is included in the CAM cap calculation
- ☐ Verify no double-counting of management fee and other administrative costs
- ☐ Compare management fee percentage to lease provision and market norms (3-5%)

Section 7 — Controllable Expense Cap

- ☐ Identify all controllable expenses subject to the annual cap
- ☐ Confirm cap percentage (typically 3-5% year-over-year or cumulative)
- ☐ Calculate maximum allowed controllable pass-through based on prior year actual
- ☐ Flag any year where controllable expenses exceeded the cap

Section 8 — Reconciliation Math Check

- ☐ Recompute tenant's share from line items independently
- ☐ Compare to landlord's billed amount
- ☐ Calculate estimated over/under-payment
- ☐ Document findings for demand letter or negotiation

Let Lextract flag CAM issues before your audit rights expire

-  Upload your lease — Lextract extracts CAM provisions, caps, exclusions, and pro-rata share methodology
-  Every CAM clause is validated and flagged if it deviates from market standard
-  Export your abstraction to share with your auditor before the window closes

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